

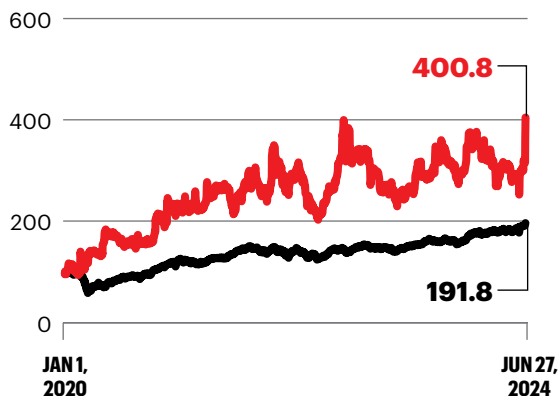


MARKET TRACKER

● The India Cements stock has had a volatile journey in the past few years

— BSE SENSEX
— THE INDIA CEMENTS

DATA HAS BEEN INDEXED TO 100
SOURCE ACE EQUITY

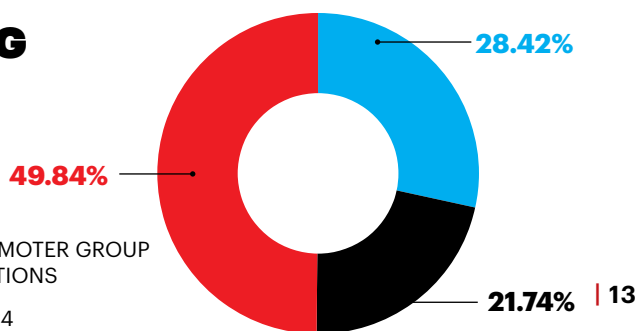


SHAREHOLDING PATTERN

● UltraTech is likely to sit tight for now after the completion of the deal, say experts

● TOTAL OF PROMOTER AND PROMOTER GROUP
● INSTITUTIONS ● NON-INSTITUTIONS

NOTE DATA AS OF MARCH 31, 2024
SOURCE ACE EQUITY



Group, acquired the Hyderabad-based Penna Cement Industries for \$1.25 billion (₹10,420 crore). Most of Penna's 14 mtpa capacity (including 4 mtpa under construction) is housed in the region and this is where a lot of the sector's M&A play will continue to take place. India Cements' capacity is similar and for UltraTech, with its earlier buyout of Kesoram Industries (10.75 mtpa), will more than double its capacity in the South to 45 mtpa. The Adani Group, ever since it picked up Ambuja Cement and ACC in May 2022 for \$10.5 billion, has been active inorganically and has a capacity of more than 75 mtpa, making it the second-largest cement producer in the country after UltraTech. The race to raise capacity is on the back of both players outlining ambitious targets—200 mtpa for the leader and 140 mtpa for the challenger.

If UltraTech picks up another 2% of India Cements stock from the

open market, it will not just own 25% of the company, but also trigger an open offer for 26% and potentially give it a controlling 51% holding. But Rakesh Arora, Founder of market research firm Go India Stocks, says that UltraTech is unlikely to up its stake in India Cements. "The

INDIA CEMENTS' CAPACITY IS AROUND 14 MT PER ANNUM, LARGELY ACROSS THE SOUTH

strategy is to prevent competition from buying over the company or just make it very expensive for them. For now, they will just remain at that 23% stake," says Arora.

India Cements itself is in the middle of an extremely challenging

phase. It has been in the red for two financial years, leaving little money for modernisation, apart from having a high-cost structure. In fact, Arora identifies multiple options that can play out in the time to come: India Cements' promoters (led by Srinivasan) may offload their 28% holding for more than the ₹267 per share that UltraTech has paid; or UltraTech could wait it out for valuations to correct given that the company is facing tough times. "In all probability, they will just sit tight and do nothing for a while," he says.

Gurmeet Chadha, Managing Partner & Chief Investment Officer of wealth management firm Complete Circle Wealth, says India Cements' valuation of around \$90 per tonne is high given the number of ageing plants. "The competitive landscape in the South is extremely hot right now and we are just in the middle of a bull market when it comes to valuations," he says.